

Banks offer a limited selection of index funds and also tend to charge loads. So mutual fund companies are the way to go.

You should be able to meet all your fund needs at a single mutual fund company. The main advantage of getting all your funds from the same company (sometimes called a “fund family”) is convenience: You’ll get a single statement every month covering all your holdings, and you’ll be able to move your money from one fund to another without much hassle. Depending on your situation, though, you may want to split your money between two or more fund families.

START WITH JUST \$50 A MONTH IN AN AUTOMATIC INVESTMENT PLAN

Some no-load mutual fund companies will waive or lower their minimum initial investment requirement if you sign up for their automatic investment plan. With these plans you can have a fixed amount—as low as \$50 or \$100—siphoned off once or twice a month from your checking account and funneled into your mutual fund. When you choose a mutual fund company, simply indicate on the application that you want your money to be automatically invested and specify where you want the money to come from.

You can set this up online with your initial investment. After that, you won’t have to do much except sit back and watch the money accumulate—although you may also want to check your investment mix occasionally to make sure it’s still in the proportion you want. If one type of investment—say, stocks—does really well for a number of years, you may find yourself more heavily invested in stock mutual funds than you intended.

Choosing a mutual fund company is surprisingly easy. What you’re looking for is a company that offers no-load funds with low expense ratios and minimum investment requirements that you can meet. In this section, I’ll direct you to a few mutual fund companies that currently fit the bill. Although others might tell you differently, I don’t believe it’s necessary for you to subscribe to *Institutional Investor* or spend your evenings scouring